

DEPARTMENT OF VETERANS AFFAIRS

**SOLE SOURCE JUSTIFICATION UNDER SIMPLIFIED PROCEDURES FOR CERTAIN COMMERCIAL
ITEMS IN ACCORDANCE WITH FAR 13.5**

Acquisition Plan Action ID: 36C263-24-AP-4960

1. **Contracting Activity:** Department of Veterans Affairs, VISN 23, 316 Robert St. N., Suite 506, St. Paul, MN 55101, Minneapolis Medical Center, 1 Veterans Dr., Minneapolis, MN 55417.
2237: 618-25-1-6100-0002
2. **Nature and/or Description of the Action Being Processed:** This procurement is for Controlled Substance Removal in accordance with FAR 13.5 Simplified Procedures for Certain Commercial Items and specifically FAR 13.501 Special Documentation Requirements, where acquisitions conducted under Simplified Acquisition Procedures are exempt from the requirements of FAR Part 6, but still require a justification using the format of FAR 6.303-2. This is a new firm-fixed-price contract as a result of changes in the regulation of waste narcotic drugs by the Environmental Protection Agency have dictated that a new system must be procured to ensure legal compliance in 2025. The regulation of controlled substances and the avoidance of diversion of narcotics has been an item of increasing social and legal concern in the last few years. More stringent regulatory standards are being imposed nationally and locally. In response to this market demand firms are providing more extensive services and equipment to meet this critical need. New regulation on controlled substances is being enacted in 2025 to deal with this increasing need. This contract is required to ensure the Minneapolis VHA will follow the new laws.
3. **Description of Supplies/Services Required to Meet the Agency's Needs:** Supplies and services to provide DEA waste drug disposal containers that neutralize the DEA controlled drugs into non-recoverable non-hazardous waste and services to install, train personnel on proper procedures, remove and replace full containers, and properly dispose of neutralized waste. This will be annual service contract. The price for the full service option (service once every 90 days) for 25, 3 gallon containers and 39, 1 gallon containers is \$70,258.56 per year including installation, training, collection, container replacement, and disposal.
Period of Performance: 04/01/2025 – 3/31/2026 with 4 option years.
Total contract price: \$351,292.70
4. **Statutory Authority Permitting Restricted Competition:**
FAR 13.5 Simplified Procedures for Certain Commercial Items. The statutory authority for applying the Simplified Procedures for Commercial Items of FAR 13.5 is 41 U.S.C. § 1901 and is implemented by FAR 13.106-1(b)(2) for restricting competition on this procurement. **Competition is restricted on this procurement for the reason below:**

- ☒ (X) Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements
- ☐ () Unusual and Compelling Urgency
- ☐ () Industrial Mobilization, Engineering, Developmental or Research Capability or Expert Services
- ☐ () International Agreement

Effective Date: 11/15/24

Page 1 of 4

REVISION: 01

Acquisition ID#: 36C263-24-AP-4960

- () Authorized or Required by Statute which vendors
- () National Security
- () Public Interest

5. Demonstration that the Contractor's Unique Qualifications or Nature of the Acquisition Requires the Use of the Authority Cited Above (applicability of authority):

Contacted the environmental departments of all 168 VHA hospitals in the nation to determine how they manage their controlled substance waste. There are only four contractors providing these supplies and/or services. Stericycle Corporation is the only vendor offering all requirements of the VAMC to include purchasing of the supplies, installation, training of personnel, removal and disposal of waste. Contacted the three other major firms that provide this service and or products, they provided estimates for the items they could provide. However, no other single firm combined the materials and services required by Minneapolis into a single package.

Accordingly, Stericycle Corporation is the only firm capable of providing the supplies and services described in Section III above without the Veteran's Health Administration experiencing substantial duplication of cost that could not be expected to be recovered through competition and unacceptable delays in fulfilling its requirements.

6. Description of Efforts Made to ensure that offers are solicited from as many potential sources as deemed practicable:

Contacted every VHA hospital facility in the United States and inquired about their practices for managing controlled substance waste. Attended the national CleanMed conferences in 2023 and 2024 and visited vendors who had product displays on controlled substance waste management options. Requested information and from the four firms identified as providing supplies and/or services. Examined contracting office resource database to see if there were other firms/contracts that offered these products and services, none located. Reviewed ADDSUP database to determine other vendors providing related supplies/services, none located.

Issued a sources sought notice to SAM.gov on 02/06/2025 number 36C26325Q0438 requesting contractors who are capable of fulfilling the need of the VAMC to respond. In the notice respondents were provided the Statement of Work and other background information of the requirement and asked to provide a capability statement demonstrating their ability to meet the specialized requirements stated in the Statement of Work and their expertise in the areas in sufficient detail, including any other specific and relevant information. They were also asked to provide their organization name, unique entity identification (UEI) number, address, email address of a point of contact who can verify the demonstrated capabilities, website address, and telephone number. Lastly, they were asked to provide copies of any agreements with companies/manufacture(s) showing authorization to provide required products / services.

Three contractors responded to the sources sought notice posted to SAM.gov. Of the three, one did not provide a capability statement. The two other respondents that provided the capability statement did not address the specific requirements contained within the Statement of Work. Rather the respondents provided a generalized capability statement of the work that they perform. Therefore, it could not be determined that they could meet all the specific requirements contained

in the statement of work to include supplies, installation, training, collection and disposal. Additionally, there was no information provided of any agreements with companies/manufactur(er)s showing authorization to provide required products found within the Statement of Work.

7. Determination by the CO that the Anticipated Cost to the Government will be Fair and Reasonable:

Anticipated cost will be considered fair and reasonable based on comparison against a similar contract (36C24219D0116) previously found fair and reasonable. Pricing will also be assessed throughout the life of the contract.

8. Description of the Market Research Conducted and the Results, or a Statement of the Reasons Market Research Was Not Conducted:

Contacted every VHA hospital facility in the United States and inquired about their practices for managing controlled substance waste. Only one facility in New York adheres to the strict DEA requirements that Minneapolis does has an existing contract with the selected vendor. Copies of their contract documents were provided for reference. Attended the national CleanMed conferences in 2023 and 2024 and visited vendors who had product displays on controlled substance waste management options. Requested information and from the four firms identified as providing supplies and/or services.

Multiple SD/VOSBs performing work under the NAICS code (319 contractors). However, there are only four vendors nationwide that provide the supplies and services required. Rule of Two could not be met. Examined contracting office resource database to see if there were other firms/contracts that offered these products and services, none located. Reviewed ADDSUP database to determine other vendors providing related supplies/services, none located. As described in Section 6 above, market research, in accordance with FAR Part 10, was conducted by synopsis of the proposed acquisition, advising industry of the pending acquisition and soliciting inquiries from interested parties. Posted a sources sought notice to SAM.gov to determine capabilities of other vendors providing similar services. Three responses received from the sources sought notice, however, none could be determined as being able to provide the specific requirements set forth within the Statement of Work and authorized to provide the required supplies. Procurement contains both supplies and services. Supplies will be BAA/TAA compliant.

9. Any Other Facts Supporting the Use of Other than Full and Open Competition: None.

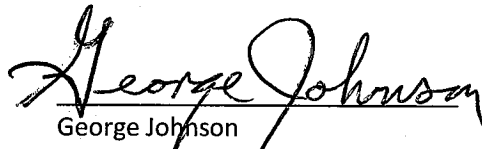
10. Listing of Sources that Expressed, in Writing, an Interest in the Acquisition:

Stryker, Cactus Sink Systems
Stericycle CSRX Systems
RX Destroyer Systems
Deterra Drug Disposal Systems
American Vet Solutions Inc.
Begini Howard Private Equity
Ventured Sole LLC

11. A Statement of the Actions, if any, the Agency May Take to Remove or Overcome any Barriers to Competition before Making subsequent acquisitions for the supplies or services required:

The contract and facility needs will be reviewed annually, and ongoing market research will reveal if other vendors enter the marketplace, who could provide the required equipment and services at a more competitive price. The initial contract is requested for one year with the possibility of four additional option years to increase efficiency in the acquisition and implementation process. Changing contractors will likely result in additional costs as a result of different supplies, and procedures. These additional costs will be factored in during subsequent annual reviews to ensure the best possible pricing and services are being provided.

12. Requirements Certification: I certify that the requirement outlined in this justification is a Bona Fide Need of the Department of Veterans Affairs and that the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.


George Johnson
GEMS Program Manager
Minneapolis VA Health Care System

02/25/2025 2/25/25
Date

13. Approvals in accordance with the VHAPM Part 806.3 OFOC SOP:

- a. **Contracting Officer or Designee's Certification (required):** I certify that the foregoing justification is accurate and complete to the best of my knowledge and belief.

Cameron Rick
Contracting Officer
Network Contracting Office 23

02/25/2025
Date

- b. **One Level Above the Contracting Officer (Required over SAT but not exceeding \$750K):** I certify the justification meets requirements for other than full and open competition.

Michael Casper
Branch Chief
Network Contracting Office 23

02/25/2025
Date